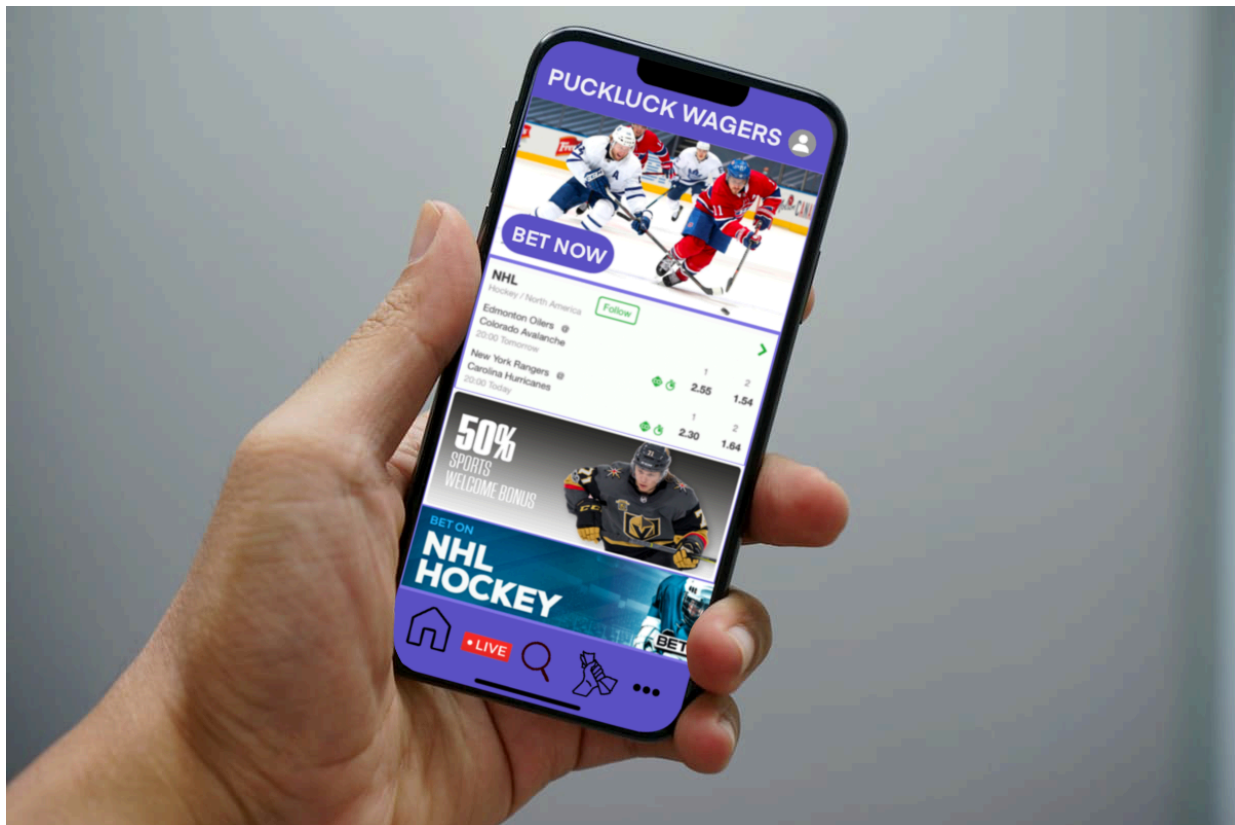




Puckluck Sports Betting Platform Proposal

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NSJC Puckluck Betting Platform

Part 1 (Basic description of betting platform)

Name of platform: PuckLuck Wagers (commonly referred to as PuckLuck)

Focus of platform: Hockey betting

Mission statement:

PuckLuck is a sports betting platform that allows our users to bet not only safely but also confidently. As a Canadian-based company, we want to create a community that supports Canadian betters as well as Canadian sports players. Our ultimate goal is to increase Canadian interest in sports by basing our platform on hockey, a sport significant to many Canadians. After all, ice hockey has been recognized and declared the national winter sport of Canada. We think this would be very effective in creating strong ties between national identity and sport, which drives profit and our societal impacts.

Our platform will be both mobile and PC friendly, available on both Apple and Android/Windows, and we will have an app as well as a website to cater to all of our users. It will include all the features needed for safe and reliable sports betting – such as the ability to create accounts, having helpful rules and regulations, and 24/7 monitoring of all bets to keep safety as our number one priority. On the platform, our users will be able to access live recordings of all hockey games along with all the scores required for one to make a well-informed bet. Due to the transparency and safety of Puckluck, our platform will comply with government regulations to create a low-risk environment for our users.

Profit plan:

To sustain all these high-security procedures and still generate revenue on our platform, we will charge a 5% processing fee on every bet, known as a vigorish, instead of a registration fee. Charging no registration fee will be the differentiating factor between our company and other betting companies as it will help draw in an abundant amount of clients when we launch. This processing fee allows for our platform to make a profit from every single transaction. The 5% vigorish was developed after thorough market analysis and competitor research and ensures that PuckLuck will have a competitive edge over each of our competitors. 'Value' sportsbooks might offer lines at -105 odds (2.38% vig), while some events or books might demand a premium at -125 odds (11.11% vig). However, the most common vig used for each side of a wager is -110. That means for every \$1.10 wagered, the bettor can win \$1 (10% vig). By having a vig at 5%, we're able to beat most of our competition, but still earn steady profit in the long run. Finally, we can also generate profit by having advertisements on our platform. The average cost per click for ads on websites and applications is \$1 – \$2, which can actually add up to a lot of passive revenue.

In addition to the vigorish, our platform will also offer a monthly subscription for those more serious about long term betting. Each month, users who opt for the subscription will pay \$4.99 and for the premium price, there will be no advertisements and a special lowered vigorish of 3.5%. This offer allows us as the company to earn more monthly, sustained revenue while also benefiting those who bet often.

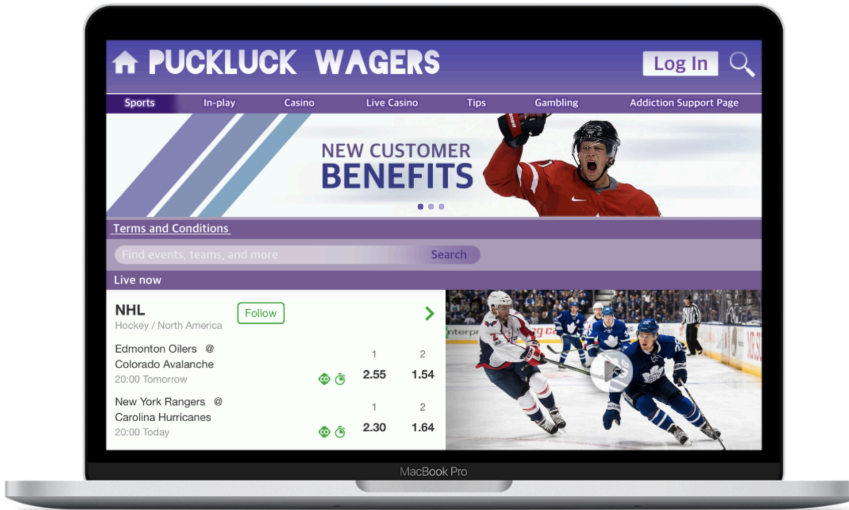
Customer attraction plan:

In order for PuckLuck to have a successful start-up, we plan to introduce some deals for our new users. Potential deals could include bonuses, such as free first bets (read more about free bets [here](#)), or extra money earned on your first winning wager. We also have competitive vigorish compared to other betting platforms and we may even partner with local governments to promote our safe betting platform.



App and website layout:

Figure 1: Sample PuckLuck Wagers website layout



Platform features:

- ☑ User-friendly design
- ☑ 24/7 live chat (10s message cooldown) to simulate real-life betting
- ☑ Live recordings of all hockey games
- ☑ Variety of different payment methods
- ☑ Variety of different withdrawal methods
- ☑ Fast pay-out rates
- ☑ Supports different languages
- ☑ Mobile apps for Android and iOS
- ☑ Low vigorish

In-depth platform description and navigation:

Users of the PuckLuck Sports Betting Platform would need to identify themselves with a photo of their ID, as well as a photo of their face, taken through the platform. Our moderators will then verify the person, and then they will be free to use our services as they please. This is to prevent bot accounts, underaged users, and possible abuse of the platform. This data will not be saved to protect user privacy.

We will have a navigation bar on the top of the PuckLuck website and app, where users can jump to different parts of our site with ease. Most distinctively, our platform features a section titled “Addiction Support Page”, where users can seek professional help for addiction support, as well as read up on the harms of gambling addictions. This feature will benefit many of our users, and can help us gain customer goodwill.

Part 2

- a. In order to accurately target a specific demographic of Canadians, we decided to categorize the consumers into five categories, as follows: age, gender, race/ethnicity, socio-economic status, and employment status.

Within the categories, we identified the following possibilities:

Age	Gender	Race/ethnicity	Socioeconomic status	Employment
18-26 27-33 34-42 43-51 52-60 61-69 70-78 79-87 88-96 97+	Males Females	Caucasian Hispanic Black Asian Multiple Races American Indian/Alaska Native Native Hawaiian/Other Pacific Islander	Lower class Middle class Upper class	Fully employed Part-time Unemployed



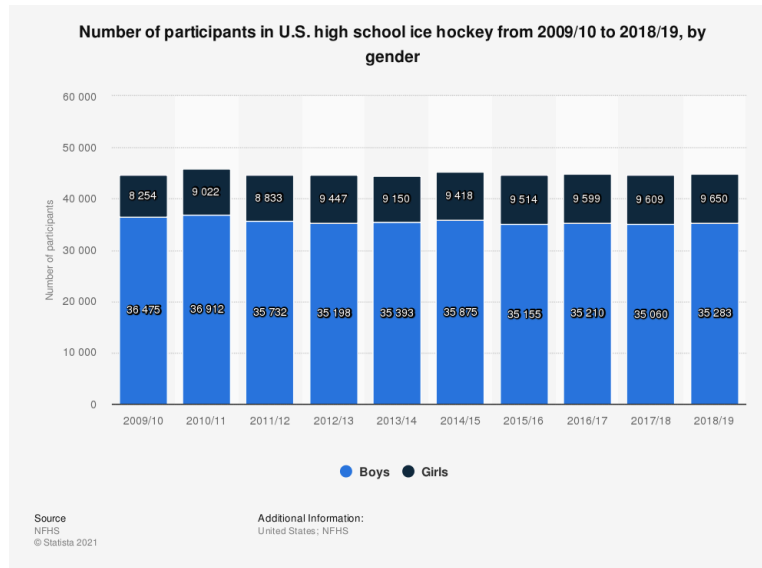
- b. Within the category of age, we have estimated the segment containing the least number of users to be the 79-96 age category. This is due to the fact that elders tend to show less interest in sports which results in fewer of them betting their retirement pension and other money on sports. Furthermore, we have reasoned that the age demographic likely to use PuckLuck the most is people of age 34-42. Within this age, many people are employed and have a stable income, and still, show passion for sports and have team spirit.

Within the category of gender, the people who are most likely to use PuckLuck are males. Males are often more interested in sports as compared to females, and, subsequently, will be more likely to spend money on sports betting.

Within the category of race/ethnicity, although it is difficult to generalize a race that is more likely to bet on sports, within the race demographics of Canada, the majority of Canadians (roughly 60%) are composed of people of European background. Thus, we have decided that the race demographic most likely to use PuckLuck are people who are Caucasian, or of European descent.

Within the category of socio-economic statuses, the demographic of people most likely to use PuckLuck are middle to upper class, as they have more money to spend on sports betting. Sports betting is also less of a need, only for those with additional funds. Assuming people of the lower class were to bet using PuckLuck, there is less stability and more risk of losing what one cannot afford to lose. This intertwines with the category of employment as well; people with a full-time job, or a stable and fixed income, are more likely to bet on sports because they can afford to lose and the risk for them is much lower. In the case of someone with comparatively less money/stability betting for the purpose of hoping to gain large sums of money within a short period of time, it is difficult to guarantee a win.

- c. As defined in the previous segment, the sectors most likely to use PuckLuck are 30-44-year-old Caucasian males who are fully employed and of middle to upper-class socioeconomic status. We will be prioritizing these people within our advertising by placing our ads in apps used commonly by people within these demographics (eg. Facebook, advertising on sports channels). The reason for us choosing to focus on 30-44-year-old males, firstly, is due to the fact that at the age of 30-44, many Canadians have a stable income in the form of a full-time job with passive income. These people are also the ones who are often middle to the upper class. Furthermore, they are at the age when they are still young enough to have lots of passion for sports and are somewhat adept at manipulating technology, the platform on which our application is most predominant. Males are also more likely to show interest in sports as compared to females, as shown by multiple surveys and demographics made.



- d. The key assumptions we have made in the above question are assumptions about the age, race, gender, and socio-economic status of people who will use our program. The assumptions for the categories, respectively, are 30-44 year-old, Caucasian, male, Canadians who are of middle to upper class. We have already explained our reasoning for the established assumptions, and in order to validate our claims, we will cite sources of data in the form of surveys and



demographics. For example, our assumptions about the ages of people most likely to use our programs can be validated by a survey containing the different age sectors and which people are most interested in sports within each category.

Part 3

In order to market the Puckluck betting platform to the highest priority segments, we must analyze the most popular form of media used by those individuals. As outlined in part 2, we believe that most of our platform users will be aged 33-44 years old, middle to upper-class Caucasian men. Statistical research shows that Facebook, Youtube, and LinkedIn are the most popular social media platforms among this demographic. All three of these platforms have over 60% of all 30-44 year-old internet users on their respective platforms. Facebook comes in first with 77% of 30-44 year-olds, followed by Youtube with 67%, and LinkedIn with 60%. Besides age, the different ethnicities and socioeconomic status categories also had similar numbers of users. There is almost no correlation between income and the social media platform used as every income has about 80% of all internet users of a certain age group using their app. When it comes to gender, the three selected platforms have pretty even gender breakdowns but all three platforms have slightly more male users than female users. After finding the correct method to reach the target audience through demographic segregation, the best way to market would be to place ads on those various platforms. Social media allows advertisers to directly target the desired group of people through information collection and alongside the platforms, Puckluck can market by purchasing targeted ads. We will also offer special sign-up bonuses at the start of launching our platform to win over users and grow our business.

The customer journey of target audience:



Social media conversion rate:

Through social media advertising, the average cost of the advertisement would be around \$1.72 per person, per click. The average conversion rate for an advertisement equates to approximately 9.21%. This means that out of 10000 people, 921 would go onto the betting website and place a bet. According to such a calculation, it would cost \$17200 to get 921 customers or about \$18.68 of advertising for one person to bet on the platform. On average, a person bets about \$118.71 per bet which means that the marginal cost for the entire process is \$18.68 and the marginal revenue for the entire process is \$118.71. Each bet placed also needs to pay a 5% vigorish which is an additional source of income depending on how much people bet and the number of people betting.

Live game conversion rate:

Besides social media advertising to reach more of the target audience, we will also place advertisements during a live game. This way, we can capture the audience's attention, and they may place a bet in the heat of the moment. The average cost to place an advertisement at a hockey rink is approximately \$746 per year. The conversion rate for the advertisement is about 3.1%. This



means that out of 1000 people, 31 would go onto the betting website and place a bet. According to such a calculation, it would cost \$746 of advertising to get 31 customers or about \$24.06 of advertising for one person to bet on the platform. On average, a person bets about \$118.71 per bet which means that the marginal cost for the entire process is \$24.06 and the marginal revenue for the entire process is \$94.65.

Part 4

Sports betting platforms carry multiple inherent and systematic risks, so we made it our priority to address these risks in order for people to continue to use our platform. Below are the following ways our platform will mitigate the risks.

Money laundering is a huge issue in the sports betting industry. A relevant United Nations study shows that about \$800 billion to \$2 trillion of the world's GDP is laundered every year. Sports betting is a method that money launderers may use to legalize their illicit income by placing that money into a legitimate gambling company. There are two common methods money launderers use to legitimize their income. The first method is opening an online betting account and depositing money from accounts, often anonymous and illegitimate ones. The gambler is then able to request a refund of the money deposited into their account. Their money is now legitimized and justified as it comes from a legitimate betting company and is considered a result of betting activity. The second method to legitimize illegal income through sports betting is segregation. Through this method, they will need to sacrifice some of their money to legalize a large sum of their money by justifying their income as a result of sports betting activity. In response to the money laundering risk, our sports betting platform will implement the Anti-Money Laundering (AML) Program. This program follows the Bank Secrecy Act whose purpose is to help detect and report suspicious activity resulting from money laundering and terrorist financing. There are three elements included in our program: detection of suspicious activity, risk assessment, internal practices, and independent audits. First, if our platform detects associated money laundering activities like large amounts of money deposited into an account or lack of information submitted to open their account, they will be reported to a Financial Intelligence Unit. Second, we will perform a risk assessment to sort our customers into threat tiers based on the risk factors. Third, our platform will implement internal guidelines which include assigning an AML compliance officer who manage suspicious activities, teaching employees to properly react to money laundering or terrorist financing activity, and having due diligence procedures. Last, our platform will be reviewed every two years by an independent auditor to make sure our sports betting platform meets regulatory expectations. The implemented AML Program into our platform will help to mitigate the risks of money laundering.

Another risk that our platform will address is the risk of cheating with any individual able to control the outcome of a game. This includes individuals who are owners of sports governing bodies or players betting on their own team's game. To mitigate these risks, our platform will ask our customers to upload their IDs while opening their betting accounts so we can do an identity check. If our platform detects any sign of the customer being able to control the outcome of a particular bet, it will not let them proceed.

Finally, our platform will mitigate the risks of people developing a gambling addiction. Gambling in general can be a very addictive activity for customers who are not careful. People who develop gambling addictions put themselves into situations of financial instability when they are unable to pay for their expensive bets. In addition, research shows that sports bettors are twice as likely to develop a high problem of gambling compared to gamblers in general, making sports betting extra addictive. According to Help Guide, people who use electronic games to gamble become problem gamblers almost three times earlier than those who gamble in person. Since our platform will be an online sports betting platform, it is important to mitigate as many extra risks as possible. Our platform has developed two solutions to effectively combat this issue. The first is to provide our customers with resources on how to safely game. Our customers are able to use our resources to educate themselves, so they are able to prevent themselves from developing a gambling addiction. Another solution that our platform will consist of is only allowing our customers to spend a maximum of 20% of their bank savings per gamble. This rule implemented will make sure that our customers don't lose all of their money per gamble.



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